Connecticut (:)

SEPTEMBER 2026 Gambling Market & Regulatory Brief · Published Oct 2026 (CT DCP Open Data monthly update for September 2026; operator payments due 15 Oct; trade coverage 20–23 Oct 2026) · Currency USD (tables in $ millions unless stated)

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THE ONE-LINE VERDICT

Connecticut's September 2026 data show a closed, three-licensee market that is still growing but visibly decelerating: record online-casino wagers of $1.95bn (+6% YoY) produced ~$57m of taxable GGR (+6% YoY, versus +17% in August), while sports handle rose 7% to $246.3m on an 8.9% hold and DraftKings overtook FanDuel in sports revenue. September was also the last month at the 18% iGaming tax — the statutory step-up to 20% took effect in October 2026 — so the state's take rises just as organic growth slows. For an outside operator the B2C door is shut by statute; the only realistic routes are B2B supply or displacing an incumbent partner at contract renewal.

ONLINE CASINO WAGERS (SEP-26)	ONLINE CASINO GROSS WIN (SEP-26)	ONLINE CASINO TAXABLE GGR (SEP-26)	SPORTS HANDLE, TOTAL (SEP-26)	SPORTS GGR / TAX (SEP-26)	IGAMING TAX RATE
$1.95bn	**$67.0m**	**~$57m**	**$246.3m**	**$21.4m / $2.47m**	**18% → 20%**
+6% YoY, all-time record	+6.5% YoY (Sep-25: $62.9m)	+6% YoY vs +17% in Aug-26	+7% YoY; 96.7% online	Hold 8.9% vs 7.1% Sep-25	Statutory step-up effective Oct 2026

1 EXECUTIVE SUMMARY

- **A duopoly-plus-lottery market by statute.** Public Act 21-23 (2021) and the amended tribal-state compacts confine Connecticut to three master wagering licensees — the Mashantucket Pequot Tribal Nation (MPI Master Wagering License CT, LLC → DraftKings), the Mohegan Tribe (Mohegan Digital, LLC → FanDuel) and the Connecticut Lottery Corporation (CLC → Fanatics Sportsbook). Two online casinos, three online sportsbooks, no commercial land-based casinos. Regulator: Department of Consumer Protection (DCP) Gaming Division.
- **Record iGaming wagers, but growth has halved.** September 2026 online-casino wagers hit an all-time high of $1.95bn (+6% YoY). Gross win was $67.0m (+6.5% YoY vs $62.9m) and taxable GGR after promotional deductions ~$57m (+6% YoY vs $53.7m in Sep-25). August had grown +17% YoY ($58m taxable), so the annual growth rate fell by roughly two-thirds in a single month.
- **Hold and promo arithmetic are stable.** Gross win of $67.0m on $1.95bn of wagers is a ~3.4% hold; the ~$10m gap between gross win and taxable GGR (~15% of win) indicates both operators are using the full 15% statutory promotional-deduction cap. Implied state payment at 18% ≈ $10.3m for the month [estimate].
- **Connecticut is the #4 US iGaming state and still punches above its weight per capita.** The $67.0m gross win was 6.6% of the seven-state US total of $1.02bn in September (PA $316.8m, MI $300.2m, NJ $274.8m, CT $67.0m, WV $39.5m, DE $15.0m, RI $5.9m). CT's 6.5% growth was the slowest of the seven states (US +12.9%). CY2025 iGaming gross win of $707.5m on ~3.6m residents is ~$195 per head [estimate].
- **FanDuel/Mohegan leads iGaming and is pulling away.** Per Chris Altruda's analysis of DCP data, FanDuel's year-to-date (Jan–Aug 2026) gross-win growth was +23.2% versus DraftKings' +6.9%, extending FanDuel's lead to $27.5m YTD from $3.8m for all of 2025; FanDuel topped $30m/month for 11 straight months while DraftKings fell below $30m in each of the three months to August.
- **Sports betting: $246.3m handle (+7% YoY), $21.4m GGR, $2.47m tax.** Online handle was $238.3m (Covers) — i.e. 96.7% of total — leaving retail at ~$8.0m [derived]. Hold recovered to 8.9% from 7.1% in September 2025. Tax of $2.47m at 13.75% implies taxable GGR of ~$18.0m [derived], so sportsbooks deducted ~$3.4m of promotional credits/excise.
- **DraftKings overtook FanDuel in sports revenue.** DraftKings (MPI) reported $7.32m versus FanDuel (Mohegan Digital) $7.0m (-6% YoY), reversing a $1.64m FanDuel lead in Sep-25. Online handle shares: DraftKings 41.6% (~$99.1m, up from 40.2%), FanDuel 37.2% ($88.7m, +1.7% YoY, down from 39.4%), CLC/Fanatics 21.2% ($50.5m, +11.3% YoY despite cutting promos 73%).
- **The CY2025 base is ~$1bn of online revenue.** AGA State of the States 2026: total commercial (online) gaming revenue $973.4m (+27.9%) — iGaming $707.5m (+31.7%), sports $265.9m (+18.8%) — generating $139.1m of state tax. DCP's own 2025 at-a-glance figures: $108.27m online-casino payments and $29.44m online sports-wagering payments to the state, consistent with ~$601m of taxable iGaming GGR and ~$214m of taxable online sports GGR [derived].
- **Land-based is a 25%-of-slot-win franchise.** Under the 1993/1994 MOUs each tribe pays 25% of gross slot win in exchange for casino exclusivity. CY2025 slot contributions were $218.87m (DCP), implying ~$875m of combined slot win [derived]. Foxwoods reported $30.2m September 2026 slot win and a $7.6m payment (Aug-26: $34.1m / $8.53m, the 2026 peak); Mohegan Sun's September figure was not retrieved [n/a]. Table-game revenue is not shared with the state and not disclosed.
- **Total 2025 gaming transfers to the General Fund: $692.7m (DCP).** Of this, online casino $108.3m, online sports $29.4m and slots $218.9m; the balance is predominantly CT Lottery transfers [composition unverified].
- **Tax regime: GGR-based, with a scheduled step-up.** CGS §12-866(b): online casino GGR taxed at 18% for five years from first licence (Oct 2021), 20% for all periods after September 2026 — confirmed in the DCP dataset note. Sports wagering (online and retail) and fantasy contests: 13.75% of GGR. Promotional deductions for iGaming capped at 25% of win (Oct-21–Sep-22), 20% (Oct-22–Sep-23), 15% thereafter. The 0.25% federal excise on sports handle applies on top.
- **The October 2026 step-up is worth ~$14m/yr to the state [estimate]** — two points on ~$57–60m of monthly taxable GGR is ~$1.1–1.2m/month — and it lands as organic growth slows, so operator margins compress on both fronts. No change to the 13.75% sports rate is scheduled.
- **Licensing is tiered and the top tier is full.** Master wagering licences (tribes, CLC) sit above online gaming operator licences (DraftKings, FanDuel, Fanatics), online gaming service provider licences (platform,

content, payments, geolocation, KYC vendors), sports wagering retailer licences (CLC's up-to-15 retail books, incl. the XL Center since Sept 2023) and occupational licences. Online gaming operator licence fee: $250,000 initial [renewal amount unverified]; tribal master licences carry 10-year initial terms [renewal terms unverified].

- **Enforcement has hardened in 2025–26.** Connecticut enacted the first US sweepstakes-casino ban (SB 1235, effective 1 Oct 2025), DCP issued cease-and-desist orders to unlicensed online operators in 2025, is litigating against Kalshi, and in September 2026 Governor Lamont announced new actions with DCP ordering nine prediction markets to stop offering sports-event contracts to Connecticut residents.
- **Responsible gambling and advertising rules are mainstream-US-strict.** 21+ for online casino and sports (18+ lottery), in-state geolocation, DCP self-exclusion, mandatory deposit/time-limit tools, no marketing to under-21s or on college campuses, and no wagering on in-state college teams (outside tournaments) or individual college-athlete props [per PA 21-23; specific clauses not re-read this session].
- **Payments are mainstream US rails.** Operators offer ACH/online banking, debit cards, PayPal/Venmo, Play+ prepaid and cash at the tribal cages; whether credit-card funding is permitted under the DCP regulations was not verified this session [unverified].
- **Political direction: fiscal, protectionist, enforcement-led.** The legislature's revealed preference is to protect the tribal/CLC revenue stream (the 25% slot share is conditional on exclusivity), raise take at the margin (20% iGaming) and push out unlicensed substitutes. A Vermont-style revenue-share comparison (VT keeps 2.7c per $ bet vs CT 1c) is already being used by commentators to argue CT's sports rate is low — a 2027-session tax debate is plausible.
- **Read-through for B2Tech: B2C entry is statutorily closed; the play is B2B or partner displacement.** Each tribe may appoint one online gaming operator and CLC one; those slots are held by DraftKings, FanDuel and Fanatics (Fanatics replaced Rush Street/PlaySugarHouse at CLC in 2023, proving displacement is possible). The accessible route is an online gaming service provider licence (platform/content/payments) — a ~$67m/month iGaming market with only two aggregators is attractive for content supply — or positioning for the next tribal/CLC partner renewal. Economics to model: 20% GGR tax, 15% promo cap, tribal revenue share, and a decelerating ~6% growth market.

2 MARKET SUMMARY

CONNECTICUT – US $M	SEP-26	YOY	AUG-26	CY2025	CY2025 YOY
ONLINE CASINO (IGAMING)					
Wagers (handle) Gaming Intelligence citing DCP.	1,950 (record)	+6%	n/a	n/a	n/a
Gross win (pre-promo deduction) Sep-26 per SportsBettingDime state table; CY2025 per AGA State of the States 2026.	67.0	+6.5%	n/a	707.5	+31.7%
Taxable GGR (post 15% promo cap) Poker Industry PRO Market Monitor; CY2025 derived from DCP payments ÷ 18%.	~57	+6%	58 (+17% YoY)	~601.5 [derived]	n/a
Payment to state @18% CY2025 = DCP '2025 at a glance' $108,265,925.	~10.3 [est]	n/a	~10.4 [est]	108.3	n/a
SPORTS WAGERING					
Handle – total (online + retail) LegalSportsBetting.com citing DCP; CY2025 range: Covers $2,344.2m vs rg.org $2,372.0m.	246.3	+7% (as reported)	n/a	2,344–2,372	n/a
Handle – online Covers; online = 96.7% of total.	238.3	n/a	n/a	n/a	n/a
Handle – retail [derived]	~8.0	vs 8.72 Sep-25	n/a	n/a	n/a
GGR (gross) Covers (online) / AGA. rg.org CY2025 taxable revenue $198.5m.	21.4	hold 8.9% vs 7.1%	n/a	263.1–265.9	+18.8% (AGA)
Tax @13.75% DCP '2025 at a glance' online sports payments $29,441,705; rg.org total CY2025 taxes $27.6m (basis differs).	2.47	n/a	n/a	29.4 online (DCP)	n/a
LAND-BASED (TRIBAL) & TOTAL					
Foxwoods slot win / 25% payment Foxwoods release via Indian Gaming; CTNewsJunkie citing DCP.	30.2 / 7.6	n/a	34.1 / 8.53	n/a	n/a
Mohegan Sun slot win Not retrieved this session; Q1-26 YTD win $126.4m (+5.65%) per UNLV compilation of DCP data.	n/a	n/a	n/a	n/a	n/a
Total slot contributions to state (both casinos) Implies ~$875m combined slot win [derived].	n/a	n/a	n/a	218.9	n/a
Total gaming transfers to General Fund DCP; includes lottery [composition unverified].	n/a	n/a	n/a	692.7	n/a
Commercial (online) gaming revenue – AGA	**~88.4 [derived: 67.0 + 21.4]**	**n/a**	**n/a**	**973.4**	**+27.9%**
Online gaming tax take – AGA	**~12.8 [est]**	**n/a**	**n/a**	**139.1**	**n/a**
STRUCTURE & REGIME					
Online share of sports handle	96.7%	n/a	n/a	~96%	n/a
Tax base / rate – iGaming CGS §12-866(b); DCP dataset note (5).	GGR / 18%	→ 20% from Oct-26	18%	18%	n/a
Tax base / rate – sports (online & retail), fantasy	GGR / 13.75%	unchanged	13.75%	13.75%	n/a
Master wagering licensees / online casinos / online sportsbooks	3 / 2 / 3	unchanged	3 / 2 / 3	3 / 2 / 3	n/a
Online gaming operator licence fee	$250,000 initial [renewal unverified]	n/a	n/a	n/a	n/a

3 DEEP-DIVE — ONLINE CASINO (IGAMING)

Record $1.95bn wagers and $67.0m gross win in September, but YoY growth collapsed from +17% to +6% in the final month at the 18% rate.

SEPTEMBER VOLUMES AND HOLD

Record $1.95bn wagers (+6% YoY) and $67.0m gross win (+6.5%) in September 2026, at a ~3.4% hold barely changed since launch.

- DraftKings operates under the Mashantucket Pequot's MPI Master Wagering License CT, LLC (Foxwoods); FanDuel under Mohegan Digital, LLC (Mohegan Sun Casino).
- Gross win of $67.0m compares with $62.9m in September 2025; the ~3.4% hold is typical of a slots-heavy, high-velocity iGaming mix.
- Twelve months to September 2026 produced roughly $665m taxable GGR and close to $120m state payments, versus DCP-reported $108.3m for calendar 2025.

TAXABLE GGR AND DECELERATION

September taxable GGR of ~$57m (+6%) is a materially weaker print than August's +17%, with the October tax step-up landing in a slower market.

- Promotional deduction capped since October 2023 at the lesser of 15% of win or actual coupons/credits wagered (DCP dataset note 4, Public Act 21-23).
- Poker Industry PRO puts September taxable GGR at ~$57m versus $53.7m in September 2025, implying ~$10m promo deductions, essentially the full 15% cap.
- State payment roughly $10.3m at 18% [estimate]; August was $58m taxable (+17% YoY) and March 2026 the all-time high of $59.7m.
- One month is not a trend, but the deceleration is sharp enough that legislators' 2021 five-year schedule assumed a faster market.

FANDUEL VS DRAFTKINGS

Competitive dynamics have shifted decisively toward FanDuel, which grew gross win 23.2% year-to-date through August 2026 against 6.9% for DraftKings.

- FanDuel/Mohegan's lead widened to $27.5m for the first eight months of 2026 from just $3.8m across all of 2025 (Chris Altruda's analysis).
- FanDuel cleared $30m monthly gross win for eleven consecutive months and topped $35m in July; DraftKings slipped below $30m in June, July and August.
- Implied FanDuel share mid-50s per cent, DraftKings mid-40s [estimate; exact September operator split not retrieved].
- With a 15% promo cap, share gains come from product (live dealer, exclusives such as DraftKings' in-house titles) and sportsbook cross-sell rather than bonus intensity.

NATIONAL CONTEXT AND MATURITY

Connecticut is the fourth-largest of seven US iGaming states but was the slowest-growing in September, suggesting the market is approaching maturity.

- Connecticut contributed $67.0m (6.6%) of the $1.02bn September US total; US +12.9%, Michigan +15.9%, New Jersey +13.0%, Pennsylvania +10.5%.
- CY2025 gross win of $707.5m (+31.7%, AGA) equates to roughly $195 per resident [estimate], among the highest penetration rates in the country.
- Future growth will track population spending power rather than channel conversion.

MARKET ENTRY ROUTES

The segment is closed to new B2C entrants; only service-provider supply or a future tribal partner change offer addressable entry points.

- Each tribe may contract with a single online gaming operator and CLC is not authorised for online casino.
- Entry point (i): online gaming service provider licence for content, platform, payments or compliance tooling to the two licensed operators.
- Entry point (ii): positioning for a partner change when DraftKings–Foxwoods or FanDuel–Mohegan agreements renew [contract terms not public].
- Supplier models should assume a 20% GGR tax from October 2026, a 15% promo cap, and tribal revenue-share economics on top of operator margin.

CONNECTICUT ONLINE CASINO – US $M	SEP-26	YOY	AUG-26	SEP-25	CY2025
Wagers (handle)	1,950 (record)	+6%	n/a	~1,840 [derived]	n/a
Gross win (pre-promo)	67.0	+6.5%	n/a	62.9	707.5 (+31.7%)
Hold on wagers	~3.4%	flat	n/a	~3.4%	n/a
Promotional deduction [derived]	~10 (~15% of win)	n/a	n/a	~9.2	~106
Taxable GGR	~57	+6%	58	53.7	~601.5 [derived]
Payment to state @18%	~10.3 [est]	n/a	~10.4 [est]	~9.7 [est]	108.3 (DCP)
Licensed online casinos	2	—	2	2	2
FanDuel YTD lead over DraftKings (gross win)	27.5 (Jan–Aug)	vs 3.8 FY2025	27.5	n/a	3.8
FanDuel / DraftKings YTD growth	+23.2% / +6.9%	n/a	n/a	n/a	n/a
Share of US 7-state iGaming revenue	6.6%	n/a	n/a	7.0%	n/a
US rank by iGaming revenue	#4 of 7	—	#4	#4	#4

4 DEEP-DIVE — SPORTS BETTING (ONLINE & RETAIL)

$246.3m handle (+7%), 8.9% hold, $2.47m tax; DraftKings takes the revenue lead as FanDuel stalls and Fanatics/CLC grows 11% on 73% less promo.

HANDLE AND HOLD

September handle of $246.3m (+7%) with an 8.9% online hold and $21.4m gross revenue; retail is structurally shrinking at ~$8.0m.

- Our comparison against rg.org's $221.6m September 2025 total gives closer to +11%; the gap appears definitional (CLC retail in the base) and is unresolved.
- Online handle $238.3m (Covers); retail ~$8.0m, 3.3% of total, versus $8.72m a year earlier.
- Hold of 8.9% online (8.7% total) recovered from 7.1% in September 2025 and 8.3% in May 2026, but remains below the 11.3% averaged over calendar 2025.

TAX TAKE

Tax receipts of $2.47m at 13.75% imply ~$18.0m taxable GGR [derived], an effective state take of about 1 cent per dollar wagered.

- Operators deducted roughly $3.4m of promotional credits and federal excise from the $21.4m gross figure.
- Trade commentary contrasts this unfavourably with Vermont's 31.7% revenue share (2.7c per dollar), the kind of comparison that tends to precede a tax bill.

OPERATOR POSITIONS

DraftKings took the revenue lead with $7.32m against FanDuel's $7.0m, while Fanatics/CLC grew handle 11.3% on 73% less promo spend.

- Flips September 2025 when FanDuel led by $1.64m; FanDuel handle grew just 1.7% to $88.7m while revenue fell 6%.
- DraftKings online handle share rose to 41.6% (~$99.1m [derived]) from 40.2%; FanDuel slipped to 37.2% from 39.4%.
- CLC/Fanatics online handle $50.5m (21.2%) — the clearest evidence Fanatics has moved from acquisition to margin mode in its third year as CLC's partner.
- Operator revenue figures appear to be on the DCP post-deduction basis [basis unverified], reconciling to ~$18.0m taxable but not $21.4m gross.

BASE AND YEAR-TO-DATE

Year-to-date 2026 online handle of $1.74bn tracks modestly ahead of 2025, but revenue of $161.3m lags because of hold normalisation.

- Calendar 2025 base: handle $2.34–2.37bn (Covers / rg.org), gross revenue $263–266m (Covers / AGA, +18.8%), taxable ~$198.5m (rg.org), online sports payments $29.44m (DCP).
- Jan–Sep 2026 hold is 9.2% (Covers).
- Lifetime since October 2021: $9.19bn handle, $973m revenue and $105.8m taxes (LegalSportsReport).

MARKET STRUCTURE AND ENFORCEMENT

A three-licence market with widening enforcement against prediction markets; outside operators' realistic angle is B2B or the CLC skin at its next review.

- Two tribes (one skin each, online and retail at Foxwoods and Mohegan Sun) and CLC (one online skin, up to 15 retail locations, including XL Center since September 2023).
- Prohibited: in-state college teams outside tournaments and individual college-athlete props [per PA 21-23; not re-read this session].
- In September 2026 DCP ordered nine prediction-market platforms to stop offering sports-event contracts, alongside the pending lawsuit against Kalshi — a direct defence of licensed handle.
- CLC has already changed partners once (Rush Street → Fanatics, 2023).

CONNECTICUT SPORTS WAGERING – US $M	SEP-26	YOY / VS SEP-25	MAY-26	MAR-26	CY2025
Handle – total	246.3	+7% (221.6 Sep-25)	187.3	217.1	2,344–2,372
Handle – online	238.3	n/a	180.8	209.6	n/a
Handle – retail	~8.0 [derived]	vs 8.72	6.5	7.5	n/a
Online share of handle	96.7%	~96%	96.5%	96.5%	~96%
GGR (gross)	21.4	~15.8 Sep-25 [derived from 7.11% hold]	15.6	17.6	263.1–265.9
Hold (GGR/handle)	8.9% online	7.11% Sep-25	8.31%	8.1%	11.3%
Taxable GGR [derived from tax ÷ 13.75%]	~18.0	n/a	15.6	17.6	198.5 (rg.org)
State tax @13.75%	2.47	n/a	2.14 (-13.6%)	2.42	27.6 (rg.org) / 29.4 online (DCP)
DraftKings (MPI) – online handle / share	~99.1 / 41.6%	88.99 / 40.2%	n/a	77.9 / 37.2%	n/a
DraftKings – revenue	7.32	took lead	n/a	n/a	n/a
FanDuel (Mohegan Digital) – online handle / share	88.7 / 37.2%	87.21 / 39.4% (+1.7%)	n/a	81.0 / 38.6%	n/a
FanDuel – revenue	7.0	-6%	n/a	n/a	n/a
Fanatics (CLC) – online handle / share	50.5 / 21.2%	+11.3%; promo -73%	n/a	50.7 / 24.2%	n/a
Fanatics – revenue	n/a	n/a	n/a	n/a	n/a
YTD 2026 online handle / GGR / hold (Jan–Sep)	1,735.8 / 161.3 / 9.2%	n/a	n/a	n/a	n/a

5 DEEP-DIVE — LAND-BASED TRIBAL CASINOS & LOTTERY (RETAIL)

The 25%-of-slot-win franchise delivered $218.9m in 2025; Foxwoods' $30.2m September slot win was down from the August peak, and retail sportsbooks are a rounding error.

TRIBAL EXCLUSIVITY FRAMEWORK

Each tribe remits 25% of slot win to the state under exclusivity, the single most important structural fact in Connecticut gaming policy.

- Foxwoods (Mashantucket Pequot) and Mohegan Sun (Mohegan Tribe) operate Class III gaming under 1991/1994 compacts and 1993/1994 MOUs; Connecticut has no commercial casinos.
- Payments continue only so long as no other party may operate slots or commercial casino games; table-game revenue is not shared and not published.
- Any commercial casino, VLT or third-party iGaming expansion would put ~$219m a year at legal risk; hence 2021 expansion went through the tribes.
- The planned joint tribal casino at East Windsor (Tribal Winds) has been shelved to 2032.

SLOT CONTRIBUTIONS

Slot contributions totalled $218.87m in 2025, implying ~$875m combined slot win [derived]; Foxwoods' September win of $30.2m was down from August's peak.

- Foxwoods 2026 slot win: $30.6m March, $29.6m April, $32.9m May and July, $34.1m August ($8.53m payment), $30.2m September ($7.6m payment, >$19m paid in 2,600+ jackpots).
- Mohegan Sun is larger: Q1 2026 win $126.4m (+5.65%) on $1.51bn handle across 3,393 machines versus Foxwoods' $86.4m (-0.75%) on $1.01bn across 3,252 machines.
- Mohegan Sun's September 2026 figure was not retrieved [n/a]; the Mashantucket Pequot have paid more than $4.9bn to the state since 1993.

RETAIL SPORTS BETTING

Retail sports betting is marginal and shrinking, ~$8.0m September handle versus $8.72m a year earlier, functioning as brand anchors rather than profit centres.

- June 2026 statewide retail: $6.9m handle, $0.72m GGR and $97k tax (DCP retail dataset via theplaybookusa).
- CLC's allowance of up to 15 retail locations (XL Center from September 2023) has not changed the picture; Connecticut is a >96%-online sports market.

CONNECTICUT LOTTERY

CLC is the largest single contributor to $692.7m of 2025 gaming transfers and the only non-tribal route to an online sports skin.

- Lottery component unverified; FY2026 sales and transfers not retrieved [n/a].
- CLC is the entity most likely to seek expanded online authority (iLottery/online draw games), altering channel mix without disturbing tribal casino exclusivity.

HOST-COMMUNITY PRESSURE

Casino-town officials lobbied in 2026 for a larger direct share of slot revenue, a reminder the 25% share is a political settlement.

- Any reallocation would be fiscal rather than commercial.
- The state's appetite for gaming revenue remains undiminished.

CONNECTICUT LAND-BASED & RETAIL – US $M	SEP-26	AUG-26	JUL-26	Q1-26 (JAN–MAR)	CY2025
Foxwoods slot win	30.2	34.1 (2026 peak)	32.9	86.4 (-0.75% YoY)	n/a
Foxwoods 25% payment to state	7.6	8.53	~8.2 [est]	~21.6 [derived]	n/a
Foxwoods slot handle / machines	n/a	n/a	n/a	1,005.5 / 3,252	n/a
Mohegan Sun slot win	n/a	n/a	n/a	126.4 (+5.65% YoY)	n/a
Mohegan Sun slot handle / machines	n/a	n/a	n/a	1,508.4 / 3,393	n/a
Combined slot contributions to state	n/a	n/a	n/a	~53.2 [derived]	218.9 (DCP)
Implied combined slot win	n/a	n/a	n/a	212.8	~875 [derived]
Retail sports handle (statewide)	~8.0 [derived]	n/a	n/a	~7.5 (Mar)	n/a
Retail sports GGR / tax (Jun-26)	0.72 / 0.097 (Jun-26)	n/a	n/a	n/a	n/a
CLC retail sportsbook locations (statutory cap)	≤15 [count unverified]	—	—	—	—
Lottery sales / transfers	n/a	n/a	n/a	n/a	n/a
Total gaming transfers to General Fund	n/a	n/a	n/a	n/a	692.7 (DCP)
Cumulative Foxwoods contributions since 1993	>4,900	—	—	—	—

6 DEEP-DIVE — LICENSING & TAX REGIME

Three master licences, one skin each, GGR-based taxes — and the five-year iGaming introductory rate expired with the September 2026 period.

LEGAL FRAMEWORK

Public Act 21-23 (signed 27 May 2021), amended compacts and DCP regulations govern online casino and sports wagering, launched 12 October 2021.

- Codified at Chapter 229a of the Connecticut General Statutes (§§12-850 et seq.); July 2021 compact/MOU amendments approved by the US Department of the Interior.
- DCP implementing regulations: Regs. Conn. State Agencies, online gaming regulation file no. 6354.
- DCP's Gaming Division licenses, audits and publishes monthly data; the Attorney General and DCP share enforcement.

LICENCE ARCHITECTURE

Master wagering licences are limited to the two tribes and CLC, each contracting with one online gaming operator, with service providers beneath.

- Tribes: online casino, online and retail sports wagering, fantasy, keno. CLC: online sports, up to 15 retail sports locations, fantasy, online lottery draw games.
- Operators: DraftKings (Foxwoods), FanDuel (Mohegan Sun), Fanatics (CLC, replacing Rush Street Interactive's PlaySugarHouse in 2023).
- Lower tiers: online gaming service provider licences (platform, content, payments, geolocation, identity), sports wagering retailer licences, occupational licences.
- Tribal master licences carry ten-year initial terms [renewal mechanics unverified]; operator licence $250,000 initial fee [renewal fee unverified]; other fees unverified.

TAX RATES

Online casino GGR tax steps from 18% to 20% after September 2026, lifting effective tax on gross win from ~15.3% to ~17.0% [derived].

- GGR is wagers less winnings, less a capped promo deduction, and for sports less the 0.25% federal excise; sports and fantasy taxed at 13.75%.
- CGS §12-866(b) and DCP note (5) confirm the schedule; promo cap was 25% year one, 20% year two, 15% from October 2023, used in full.
- June 2025 DCP note: MPI (DraftKings) amended March and April 2025 returns, reducing promo coupons by $4.97m and $5.12m — DCP audits the promo line closely.

> *"18% of Gross Gaming Revenue until September 2026; 20% for all subsequent periods"* — **DCP dataset note (5)**

STATE REVENUE LAYERS

Gaming taxes totalled about $358m in 2025 before lottery transfers, and the two-point step-up adds ~$14m a year [estimate] without legislative action.

- 2025: online casino $108.3m, online sports $29.4m, retail sports ~$1.4m [derived], 25% slot contributions $218.9m, within DCP's $692.7m General Fund transfer.
- AGA's $139.1m 'gaming tax revenue 2025' corresponds to online verticals only.
- On ~$57–60m monthly taxable iGaming GGR, the step-up adds roughly $1.1–1.2m per month.

B2B IMPLICATIONS

With no tender, auction or additional skins without reopening compacts, the Connecticut licence to pursue is the online gaming service provider licence.

- Tribes and CLC own the licences, operators are contracted vendors, all other participants are service providers.
- Reopening compacts would jeopardise the 25% slot share.
- Fee and processing timetable should be confirmed directly with DCP [unverified]; content or platform agreements sit two contractual layers below the master licence.

CONNECTICUT LICENSING & TAX – RULE / VALUE	CURRENT (TO SEP-26)	FROM OCT-26	SOURCE / STATUS
Enabling law	Public Act 21-23 (2021); CGS ch. 229a §§12-850 et seq.	unchanged	Statute; amended compacts/MOUs July 2021
Regulator	DCP Gaming Division	unchanged	portal.ct.gov/dcp/gaming
Master wagering licensees	3 (MPTN, Mohegan Tribe, CLC)	3	Statute
Online casino skins	2 (DraftKings/Foxwoods; FanDuel/Mohegan Sun)	2	One operator per tribe
Online sportsbook skins	3 (+ Fanatics/CLC)	3	CLC changed partner 2023 (RSI → Fanatics)
Tribal master licence term	10-year initial [renewal unverified]	—	Statute
Online gaming operator licence fee	$250,000 initial [renewal unverified]	—	Statute [unverified this session]
Sports wagering retailer / service provider fees	n/a [unverified]	—	—
Tax base	GGR = wagers − payouts − capped promo − federal excise (sports)	unchanged	CGS §12-866
iGaming tax rate	18% of GGR	20% of GGR	CGS §12-866(b); DCP dataset note (5)
Effective iGaming tax on gross win [derived]	~15.3%	~17.0%	Assumes full 15% promo cap used
Sports wagering tax (online & retail)	13.75% of GGR	13.75%	CGS §12-866
Fantasy contests tax	13.75% of GGR	13.75%	CGS §12-866
iGaming promo deduction cap	15% of win (25%→20%→15%)	15%	DCP dataset note (4); PA 21-23
Tribal slot contribution	25% of gross slot win	25%	1993/1994 MOUs; conditional on exclusivity
Federal excise (sports)	0.25% of handle	0.25%	26 USC §4401
Minimum age	21 (casino, sports); 18 (lottery)	unchanged	Statute
CY2025 online gaming tax take	$139.1m (AGA); DCP: $108.3m iGaming + $29.4m online sports	—	AGA / DCP
Est. annual value of 2-pt step-up	—	~$14m [estimate]	Own calc on ~$57–60m/month taxable GGR

7 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING, ADVERTISING & ENFORCEMENT

Mainstream US payment rails, 21+ with geolocation and self-exclusion, and an enforcement posture that has moved from sweepstakes (2025) to prediction markets (2026).

PAYMENTS

Payments follow the mainstream US regulated template; the B2B opportunity lies in instant-withdrawal, fraud and identity tooling rather than rails.

- ACH/online banking (via Trustly/Plaid), debit cards, PayPal and Venmo (FanDuel), Play+ prepaid cards, and cash at Foxwoods and Mohegan Sun cages.
- FanDuel markets sub-one-hour PayPal withdrawals as a differentiator.
- Credit-card funding permissibility was not verified [unverified]; confirm against regulation text before modelling deposit mix.
- No mobile-money or cash-voucher dimension to speak of.

RESPONSIBLE GAMBLING AND ADVERTISING

Players must be 21+ (18 for lottery), geolocated in Connecticut, with limits, cooling-off periods and DCP self-exclusion across online and retail.

- Operators must offer deposit, spend and time limits; master licensees fund the chronic gamblers treatment and rehabilitation account [amounts unverified].
- Advertising prohibits marketing to under-21s and on college campuses and requires responsible-gambling messaging.
- In-state college team wagering (outside multi-team tournaments) and individual college-athlete props prohibited [per PA 21-23; clauses not re-read].

ENFORCEMENT DIRECTION

Enforcement has moved from sweepstakes casinos in 2025 to prediction markets in 2026, with political economy squarely aligned with incumbents.

- Connecticut was first to enact a sweepstakes-casino prohibition (SB 1235, effective 1 October 2025), also outlawing unlicensed online casino, sports and lottery couriers.
- DCP issued cease-and-desist orders to unlicensed online operators during 2025.
- In 2026 the state is litigating against Kalshi; in September 2026 Governor Lamont announced DCP orders to nine prediction-market platforms to stop sports-event contracts.
- Each move protects licensed books' handle and the state's 13.75%/20% take.

COMPLIANCE OUTLOOK

The compliance bar is conventional-US-strict but predictable; anything adjacent to the perimeter should be assumed hostile territory in Connecticut.

- DCP audits monthly returns line by line (see the 2025 MPI promo restatement) and publishes operator-level data within ~two weeks of month-end.
- DCP has shown willingness to use C&D orders and litigation against grey-market substitutes.
- Sweepstakes, social casino with cash-out, event contracts and skill-game cabinets are all at risk.

CONNECTICUT CONDUCT RULES – STATUS	RULE / STATUS	DATE / DETAIL	VERIFICATION
Minimum age	21 online casino & sports; 18 lottery	Since launch Oct-21	Statute
Geolocation	Required; in-state only	Since launch	Statute / regs
Self-exclusion	DCP voluntary self-exclusion (online & retail)	Durations [unverified]	DCP programme
Player limit tools	Deposit / spend / time limits, cooling-off	Mandatory	Regs [not re-read]
Advertising	No targeting <21; no college-campus marketing; RG messaging	Since launch	PA 21-23 / regs [not re-read]
Prohibited markets	In-state college teams (ex-tournaments); college athlete props	Since launch	PA 21-23 [not re-read]
Sweepstakes casinos	Banned (SB 1235); unlicensed online gaming & lottery couriers also prohibited	Effective 1 Oct 2025	Legislation; LSR corroboration
Unlicensed online operators	DCP cease-and-desist orders	2025	DCP press release
Prediction markets	C&D to 9 platforms; Kalshi lawsuit pending	Sep 2026	Governor's press release; Novig summary
Payment methods (operator-disclosed)	ACH/online banking, debit, PayPal/Venmo, Play+, casino cage cash	Current	Operator sites [secondary]
Credit-card funding	n/a	—	[unverified]
Problem-gambling funding	Master-licensee contributions to chronic gamblers treatment account	Annual	Amount [unverified]
Data transparency	Operator-level monthly wagers, win, promo, payments on CT Open Data	Updated ~15th of following month	DCP

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Scale and density: a ~$67m/month gross-win iGaming market and ~$21m/month sports GGR on 3.6m people — roughly $195 iGaming gross win per resident in 2025 [estimate], one of the highest penetrations in the US — served by just two casino aggregators. Content, live-dealer and platform suppliers face an unusually concentrated and reachable buyer set. structural
- Partner displacement is proven possible: CLC replaced Rush Street with Fanatics in 2023, and Fanatics has since grown online handle 11.3% YoY while cutting promos 73%. The next CLC or tribal partner review is the only B2C route in, and the CLC skin (21.2% handle share) is the most contestable. structural
- Transparent, operator-level monthly data (wagers, win, promo, payments by licensee on CT Open Data) and a predictable, GGR-based tax code with the only scheduled change (18%→20%) now behind the market — low regulatory-surprise risk for business planning. structural
- Enforcement protects the licensed perimeter: the 2025 sweepstakes ban and the September 2026 prediction-market cease-and-desist orders remove substitutes and channel demand to licensed products — a tailwind for anyone inside the tent. structural
- FanDuel's iGaming momentum (+23.2% YTD vs DraftKings +6.9%) shows product-led share shift is achievable even under a 15% promo cap; DraftKings' sports revenue lead in September shows the sports race remains open — both argue that supplier differentiation (exclusive content, risk/pricing) is monetisable here. mixed
- Sports hold recovered to 8.9% from 7.1% a year earlier, lifting GGR despite only +7% handle; YTD online hold of 9.2% is a healthier base than the 11.3% outlier of 2025 for underwriting 2027 revenue. one-off

▼ LOWLIGHTS

- B2C entry is closed by statute and compact: one online operator per tribe, one for CLC, no tender mechanism, and any expansion would jeopardise the 25% slot share (~$219m/yr) that underpins tribal exclusivity. Realistic access is B2B only. structural
- Growth is decelerating fast: iGaming taxable GGR growth fell from +17% (Aug-26) to +6% (Sep-26) and Connecticut was the slowest-growing of the seven US iGaming states in September (US +12.9%). Per-capita penetration suggests approaching maturity. watch
- Tax step-up to 20% of iGaming GGR from October 2026 lands on a slowing market; combined with the 15% promo cap, effective tax on gross win rises to ~17% [derived], compressing operator (and therefore supplier revenue-share) economics by ~2 points. structural
- Sports economics are thin and politically exposed: the state kept ~1c per dollar wagered in September versus Vermont's 2.7c, and commentators are already framing the 13.75% rate as low — a 2027-session rate debate is plausible. watch
- Retail is structurally irrelevant (~3% of sports handle and shrinking in absolute terms), so any land-based or omnichannel proposition has no addressable market outside the two tribal resorts. structural
- Perimeter products are hostile territory: sweepstakes, event contracts and unlicensed online offerings have been met with legislation, C&D orders and litigation (Kalshi) within 12 months — regulatory risk for anything not squarely inside the three-licence framework. governance
- Data gaps this session: Mohegan Sun September slot win, Fanatics' sports revenue, the September iGaming operator split, licence-fee renewal schedules and CT Lottery FY2026 figures could not be verified [n/a]; the +7% vs ~+11% sports-handle YoY discrepancy is unresolved. one-off

9 FORECAST & OUTLOOK

Guidance bridge. The single scheduled regulatory change has now happened: September 2026 was the final month at the 18% introductory iGaming rate written into Public Act 21-23, and from the October 2026 period the state takes 20% of online-casino GGR (CGS §12-866(b); DCP dataset note). On the current ~$57–60m of monthly taxable GGR that is worth ~$1.1–1.2m a month, or ~$14m a year, to the General Fund [estimate] — pushing annual iGaming payments from ~$120m (12 months to Sep-26) toward ~$135–140m at flat volumes. The sports rate (13.75%) and the 15% promo cap are unchanged; the licence count (3/2/3) is fixed by statute. The moving parts for 2027 are therefore political rather than scheduled: a possible sports-rate debate, further prediction-market and sweepstakes enforcement, CLC's push for broader online authority, and host-town demands on the slot share.

IGAMING TAX RATE	INCREMENTAL STATE TAKE	SPORTS TAX / PROMO CAP	LICENSED SKINS
18% → 20% of GGR	**~+$1.1–1.2m/month**	**13.75% / 15%**	**2 iGaming / 3 OSB**
Effective Oct-26 (statutory, no vote required)	~$14m/yr at flat volumes [estimate]	Unchanged; rate debate possible in 2027 session	Unchanged; no expansion mechanism

Independent view. Market: we expect Connecticut online-casino gross win to grow mid-to-high single digits over the next 12 months (CY2026 gross win ~$770–790m, CY2027 ~$820–860m [estimates]), with taxable GGR tracking ~85% of that given full use of the promo cap; the September deceleration to +6% is partly a tough comparison against a record September 2025 but the per-capita data argue the channel-conversion phase is over. Sports handle should grow mid-single digits with hold mean-reverting toward 9–10%, implying CY2026 GGR of ~$215–230m [estimate], below 2025's hold-inflated $263–266m. **Margins:** the 20% rate takes ~2 points out of operator iGaming margin from October; FanDuel's share gains suggest it, not DraftKings, is best placed to absorb this, and we expect the iGaming share gap to widen further before any DraftKings response. **Rules:** base case is no legislative change in 2027 beyond enforcement bills; the tail risk is a sports-rate increase (Vermont/NY comparisons are already in circulation) or a promo-cap tightening. Tribal exclusivity makes an additional skin or commercial casino effectively a zero-probability event before 2032. **Leverage/structure:** the state's dependence on gaming (~$693m of 2025 General Fund transfers) means policy will remain revenue-maximising within the tribal framework — favourable to incumbents, neutral-to-positive for licensed B2B suppliers, hostile to perimeter products. **For B2Tech** the actionable path is an online gaming service provider licence targeting content/platform/payments supply to the two iGaming skins, and a watching brief on the CLC–Fanatics and tribal–operator contract cycles.

What to watch next quarter:

- DCP October 2026 iGaming release (mid-Nov 2026): first month at 20% — check whether operators trim promotional spend below the 15% cap or pass cost into hold/RTP, and whether YoY growth re-accelerates from +6%.
- 2027 Connecticut General Assembly session (Jan–Jun 2027): any bill to raise the 13.75% sports rate, tighten the promo deduction, expand CLC online authority (iLottery/keno), or redistribute slot-share to host towns.
- Kalshi litigation and the September 2026 cease-and-desist orders to nine prediction markets — outcomes will define how far DCP can police event contracts and set precedent for other states.
- Operator share trajectory: FanDuel's $27.5m YTD iGaming lead and DraftKings' sports-revenue flip; a widening iGaming gap raises the odds of a DraftKings product or promo response and tests the 15% cap.
- Mohegan Sun and Foxwoods slot-win trend (DCP monthly): the ~$875m slot base funds the 25% share that anchors tribal exclusivity; sustained declines at Foxwoods (-0.75% Q1-26) would sharpen the tribes' interest in online economics.
- Contract cycles: CLC–Fanatics and the tribal–DraftKings/FanDuel agreements (terms not public) — the only B2C entry points; watch for RFP signals or partner-change rumours.
- Payments and KYC rule changes at DCP (credit-card funding status, instant-withdrawal standards) relevant to any B2B payments proposition [currently unverified].

DATA CONFIDENCE: MEDIUM Market reports in USD; no FX conversion required. Primary DCP sources (Gaming Data & Documents page; CT Open Data dataset notes for Online Casino Gaming Payments, Selected Online Casino Gaming Data, Online/Retail Sports Wagering Payments) were identified and partially read, but the dataset rows for September 2026 could not be pulled directly in this session (fetch throttled). September 2026 figures are therefore DCP data as relayed by ≥2 independent secondary sources where possible: iGaming wagers $1.95bn (Gaming Intelligence), gross win $67.0m (SportsBettingDime), taxable GGR ~$57m (Poker Industry PRO / USPoker), sports handle $246.3m and tax $2.47m (LegalSportsBetting.com), online handle $238.3m and GGR $21.4m (Covers), Foxwoods $30.2m/$7.6m (Foxwoods release). Figures marked [derived] or [estimate] are our arithmetic on those inputs. Unverified/not retrieved: Mohegan Sun Sep-26 slot win; Fanatics Sep-26 revenue; Sep-26 iGaming operator split; licence-fee renewal schedules and service-provider fees; RG fund contribution amounts; credit-card funding rule; CT Lottery FY2026 sales/transfers; the +7% vs ~+11% sports-handle YoY discrepancy. Tax rates and promo-cap schedule are confirmed from the DCP dataset notes and statute references.

Sources: [Primary] CT Department of Consumer Protection – Gaming Data and Documents (2025 at-a-glance: $108.3m iGaming payments, $29.4m online sports payments, $218.9m slot contributions, $692.7m General Fund transfers); [Primary] CT Open Data – Online Casino Gaming Payments to State (dataset notes: 18%→20% from Oct-26; promo cap 25/20/15%; MPI 2025 restatement); [Primary] CT Open Data – Selected Online Casino Gaming Data (columns: win/loss, promotional coupons, promotional deduction, payment); [Primary] CT Open Data – Online Sport Wagering Payments to State; [Primary] CT Open Data – Retail Sports Wagering Payments to the State; [Primary] data.gov catalog – Schedule of Selected Retail Sports Wagering Data (CLC XL Center from Sept 2023; last updated 23 Sep 2026); [Primary] CT Open Data – Monthly Slot Revenue from Casinos for Current Year; [Primary] DCP Gaming Division – FAQ (25% slot-win contribution; exclusivity condition); [Primary] Governor Lamont – New actions against illegal prediction markets offering sports wagers (Sept 2026); [Primary] DCP – Cease-and-desist orders to unlicensed online gambling (2025); [Primary] CT eRegulations – Online gaming regulations, file no. 6354; [Primary] Governor Lamont – First-month collections from sports wagering and online casino (Dec 2021); [Secondary] Gaming Intelligence – Connecticut takes record iGaming wagers in September ($1.95bn, +6%) (lead article); [Secondary] Poker Industry PRO – Market Monitor: Connecticut September 2026 (~$57m taxable GGR, +6%); [Secondary] Poker Industry PRO – Market Monitor: Connecticut September 2025 ($53.7m) / August 2026 ($58m) / March 2026 ($59.7m); [Secondary] USPoker – Connecticut online casino growth slows to 6% in September, its last month at 18% tax; [Secondary] SportsBettingDime – US online casino revenue September 2026 (CT $67.0m vs $62.9m; seven-state table); [Secondary] LegalSportsBetting.com – Vermont out-earns Connecticut on every sports bet ($246.3m handle, $2.47m tax, operator shares); [Secondary] Covers – Connecticut betting revenue & handle tracker (Sep-26 online $238.3m / $21.4m; 2026 YTD; CY2025); [Secondary] rg.org – Connecticut September 2025 sports betting ($221.6m handle, 7.11% hold, retail $8.72m, operator handle); [Secondary] rg.org – Connecticut March 2026 ($217.1m handle; operator shares) and May 2026 ($187.3m; $2.14m tax) reports; [Secondary] rg.org – US sports betting statistics (CT CY2025: $2.372bn handle, $198.5m revenue, $27.6m taxes); [Secondary] Indian Gaming – Foxwoods reports $30.2m September 2026 slot revenue, $7.6m payment; [Secondary] CTNewsJunkie – Foxwoods August 2026 slot revenue $34.1m, $8.53m to state; [Secondary] UNLV Center for Gaming Research – Connecticut tribal casinos slot data (monthly handle/win; Q1-26 YTD); [Secondary] American Gaming Association – State of the States 2026: Connecticut ($973.4m revenue; $707.5m iGaming; $265.9m sports; $139.1m tax); [Secondary] Straight to the Point (Chris Altruda) – The Weekender: FanDuel vs DraftKings in Connecticut ($27.5m YTD lead; +23.2% vs +6.9%); [Secondary] LegalSportsReport – Connecticut online casinos / sports betting pages (tax step-up, sweepstakes ban, licence structure, lifetime totals); [Secondary] licencegaming.com – Connecticut iGaming revenue (FY2025 ~$528.2m; FY2026 ~$645.5m taxable GGR); [Secondary] Novig – Connecticut sports betting 2026 (DCP orders nine prediction markets to stop; Kalshi lawsuit); [Secondary] theplaybookusa – Connecticut gambling revenue (June 2026 retail sports $6.9m handle / $0.72m GGR

/ $97k tax; combined slot handle); [Secondary] tribalgaming.com – Connecticut tribal gaming deep-dive 2026 (25% slot share; Foxwoods Mar/Apr 2026; host-town pressure); [Secondary] Enfield Things (blog) – Oct-25 to Sep-26 online casino ~$665m / ~$120m to state (low-grade; arithmetic-consistent only).

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.